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A Critical Analysis of Automated Frameworks for Credit Investigation in Retail Financing

Abstract

This literature review examines the evolution of the Philippine credit system from 2020 to 2026, focusing on regulatory reforms, digital lending innovations, alternative data credit scoring, MSME financing, and the integration of environmental, social, and governance (ESG) considerations into credit assessment. Drawing on policy documents, institutional reports, and peer-reviewed research, the review synthesizes how the Bangko Sentral ng Pilipinas (BSP), the Credit Information Corporation (CIC), and other stakeholders have reshaped credit infrastructure to improve transparency and financial inclusion. Findings show a gradual transition from collateral-dependent lending toward data-driven risk assessment supported by credit registries, digital platforms, and AI-enabled models. However, persistent challenges remain, including low MSME lending compliance, geographic concentration of credit, weak payment culture, and risks related to algorithmic bias and consumer protection. The review identifies a key research gap: limited integrated analysis linking regulation, alternative data, and sustainable finance within the Philippine context. It concludes that while reforms are expanding access to credit, coordinated policy implementation, responsible data governance, and inclusive lending practices are necessary to achieve equitable and sustainable credit growth.

Keywords: Credit Scoring; Alternative Data; Financial Inclusion; MSME Financing; Digital Lending; Philippine Credit System

1. Introduction

The Philippine credit system has undergone significant transformation since 2020, driven by regulatory reforms, digital innovation, and policy efforts to expand financial inclusion (ADB, 2025; CIC, 2025; BSP, 2020). This review synthesizes key sources from 2020 to 2026 to examine the structure, policies, and emerging trends shaping credit access for individuals and businesses, especially micro, small, and medium enterprises (MSMEs) (Inquirer, 2025a; ADB, 2025). Rather than listing studies individually, the review integrates evidence across themes to highlight areas of consensus, ongoing challenges, and research gaps.

2. Regulatory Framework and Governance

The Credit Information Corporation (CIC) serves as the central repository of credit data under Republic Act 9510, standardizing credit reporting to reduce information asymmetry across banks and non-bank financial institutions (CIC, 2025). The Bangko Sentral ng Pilipinas (BSP) has expanded oversight through transparency and consumer-protection measures, including rules on loan disclosure and fee regulation (Respicio, 2026). In parallel, interest-rate caps on online lending have aimed to curb predatory practices and improve borrower protection (CashLoanPH, 2025).

Sustainable finance reforms have also reshaped credit governance. BSP Circular No. 1085 introduced environmental and social risk management requirements for banks, while subsequent guidance encouraged the alignment of credit portfolios with sustainability goals (BSP, 2020; Green Finance Platform, 2025). These policy changes signal a shift toward risk management frameworks that consider long-term economic and environmental impacts (SBFN, 2025; RXS Meta, 2025).

3. MSME Credit Access and Institutional Initiatives

The Magna Carta for MSMEs requires banks to allocate a portion of their lending portfolios to MSMEs, yet compliance remains uneven. Evidence indicates that many large banks continue to fall below target lending levels, reflecting persistent risk aversion and reliance on collateral (Inquirer, 2025a). In contrast, rural and cooperative banks have demonstrated stronger MSME engagement, suggesting that proximity and relationship-based lending remain influential (ADB, 2025; Inquirer, 2025a).

To address information gaps, the BSP and the Japan International Cooperation Agency launched the Credit Risk Database (CRD) to support risk-based lending (Manila Bulletin, 2024a; Context.ph, 2024). The CRD allows participating institutions to use anonymized financial data to estimate default probabilities, helping shift lending decisions from collateral dependence toward financial performance and credit behavior (Manila Bulletin, 2024a). The Standard Business Loan Application Form (SBLAF) further supports process standardization and improves transparency for borrowers (Manila Bulletin, 2024b).

4. Digital Lending and Alternative Data

Digital lending platforms and alternative data sources have expanded access to credit for populations with limited traditional credit histories (Experian, 2025; CRIF, 2024). Studies and industry pilots show that transaction records, telco usage, inventory data, and behavioral indicators can improve credit assessment for new-to-credit borrowers (ADB, 2024). Programs such as digital sandbox initiatives demonstrate how small entrepreneurs, including sari-sari store owners, can gain access to formal financing through data-driven scoring models (ADB, 2024).

Despite progress, inclusion gaps remain. Credit distribution is still highly concentrated in urban centers (ADB, 2025; Inquirer, 2025b), and many informal workers continue to rely on high-interest informal lending schemes (Lendsqr, 2025). This suggests that technological innovation alone is insufficient without complementary regulatory, infrastructure, and literacy support (ADB, 2025).

5. Research Approaches in Credit Literature

Recent scholarship on credit systems can be grouped into several methodological strands. First, digital finance and income studies suggest that expanding digital financial services can raise household income and strengthen inclusion, particularly in rural contexts (Ji, 2022; Li & Ma, 2021). Second, research on AI and alternative data shows that machine-learning models may improve risk prediction for individuals without traditional credit histories by incorporating utility payments, employment data, and online behavior (Alamsyah et al., 2025 ; Toh, 2024).

Third, fairness and ethics research highlights risks associated with algorithmic discrimination in credit scoring, emphasizing the need for transparency, explainability, and safeguards for protected groups (Hurlin & Pérignon, 2024). Finally, studies on credit access and economic resilience demonstrate how lending institutions respond to shocks such as natural disasters and market uncertainty, underscoring the importance of adaptive risk management (Celil et al., 2022). Together, these approaches suggest that modern credit assessment is becoming more data-intensive, but governance and fairness remain critical concerns.

6. ESG Integration in Credit Assessment

ESG considerations are increasingly incorporated into lending decisions in the Philippines. Regulatory guidance encourages banks to classify and monitor loans based on sustainability criteria (BSP, 2020; SBFN, 2025), and financial institutions have begun reporting growth in sustainable finance portfolios (RXS Meta, 2025). Transition finance initiatives, including projects that support energy transition, reflect a growing alignment between credit allocation and climate-related objectives (RXS Meta, 2025). However, consistent measurement frameworks and robust disclosures are still developing.

7. Key Challenges and Emerging Directions

Several structural challenges continue to constrain credit expansion. Banks remain cautious, frequently prioritizing collateral over risk-based models (ADB, 2025). Geographic disparities limit access to finance outside major urban regions (Inquirer, 2025b), while low income levels and payment-culture concerns increase perceived credit risk (S&P Global, 2025). Additionally, expanding use of AI raises questions about data privacy, transparency, and potential bias (Hurlin & Pérignon, 2024).

Looking ahead, open finance initiatives and data-sharing frameworks may enable more personalized credit offerings if implemented with strong safeguards (FasterCapital, 2025). Generative AI and synthetic data are also emerging as tools to train models for underserved segments (ANBC, 2025), but their adoption will require careful governance to balance innovation with consumer protection

8. Research Gap

Although existing literature examines regulatory reforms, digital credit scoring, and sustainability in isolation, there is limited integrated analysis linking these dimensions within the Philippine context (ADB, 2025; SBFN, 2025). Future research should explore how regulation, alternative data, and ESG frameworks interact to influence both lender behavior and borrower outcomes, particularly for MSMEs and underserved populations.

9. Conclusion

The Philippine credit system is transitioning from a collateral-dependent model toward a data-driven ecosystem shaped by regulation, technology, and sustainability goals (CIC, 2025; BSP, 2020; ADB, 2025). Reforms have improved transparency and enabled new lending models, yet significant inclusion and implementation gaps remain (Inquirer, 2025a; Inquirer, 2025b). Closing these gaps will require coordinated policy enforcement, responsible use of alternative data, and continued investment in institutional capacity to ensure that credit growth remains inclusive and sustainable.

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